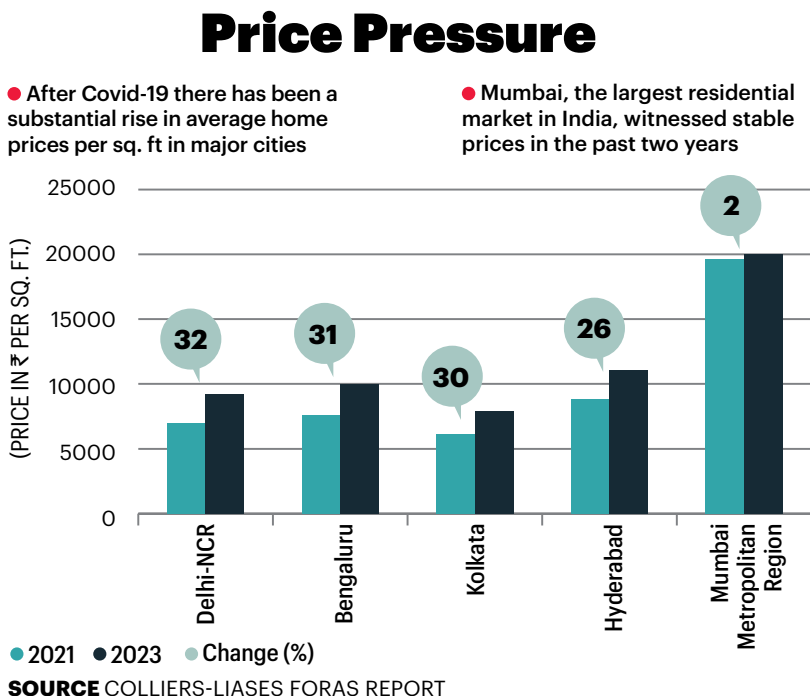




IN THE POST-PANDEMIC world, 34-year-old Shikhar Srivastava, like many others, relocated back to NCR after working remotely for three years in his hometown, Kanpur. While he rented a flat in Greater Noida, he envisioned buying a property there. After purchasing a flat in Kanpur during the Covid-19 real estate market downturn, he was surprised to find buying a home in NCR was completely out of reach. A 2BHK costing ₹40–50 lakh a year ago was now selling for ₹70–80 lakh, and 3BHK flats now cost more than ₹1 crore in NCR, making it difficult for the millennial to buy a home near his workplace.

This price surge is not restricted to NCR. Across major cities, real estate prices have climbed after the pandemic, making home ownership increasingly challenging for the layperson. This problem is particularly acute in urban areas, where rapid urbanisation and rising migration have significantly increased property values post Covid-19.

While some working millennials (a person born between 1981 and 1996) were able to secure flats at attractive prices in NCR during the pandemic, others, like Srivastava, explored opportunities in Tier II and Tier III cities. However, securing home loans for these properties



has proven challenging due to market price variations. Presently, they regret their decision as they find themselves compelled to return to metropolitan areas for employment and seek rented accommodation.

With a whopping 440 million, India boasts the world's largest millennial population. This translates to roughly 34% of the total population, with a median age of around 28. These young adults are flocking to major cities, driving demand for both residential and commercial spaces.

The current scenario presents a double whammy: the properties millennials acquire in Tier II and Tier III cities yield less in rental income, necessitating them to cover EMIs from their own pockets. Additionally, they incur significant rental expenses in metropolitan areas. Hence, the dream of purchasing a home in a metro has become an elusive one for many millennials.

The main reason behind the af-

fordability crisis is the sharp rise in housing prices during the last two years—2022 and 2023—after Covid-19. This happened due to rapid urbanisation and a burgeoning middle class, which have pushed the demand for housing in major cities. Young professionals migrating to these hubs intensify the competition further. Besides, the construction (real estate) industry has been struggling to keep pace with rising demand. Regulatory hurdles, land scarcity, and a lack of investment in affordable housing projects have all contributed to a supply shortage.

In recent years, there has been a clear shift in how millennials view home ownership. Back in 2016–2019, most were happy to just rent. A 2023 survey by property consultancy firm CBRE revealed a surprising trend—a whopping 70% of millennials were now interested in buying a home. A reason for this shift could be the findings of another 2023 survey by real estate services company